

Star Union Dai-ichi Life Insurance Company Limited

September 21, 2026

Facilities/Instruments	Name of the Regulator ¹	Amount (₹ crore)	Rating ²	Rating Action
Subordinate debt*	SEBI	125.00	CARE AA; Stable	Reaffirmed

Details of instruments in Annexure-1.

*The rated subordinate debt issuance exhibits following key features:

- The company can pay interest only if its solvency ratio is above the regulatory minimum.
- If the solvency ratio falls below the regulatory threshold, or if paying interest causes the solvency ratio to drop below the regulatory minimum, then the company must get approval from the regulator before making interest payments.
- If payment of interest results in a net loss or increases an existing net loss, regulatory approval is needed.

Delays in payment of interest / principal (as the case may be) following invocation of covenants, would constitute an event of default per CareEdge Ratings' definition of default and as such these instruments may exhibit sharper migration of the rating.

Rationale and key rating drivers

The rating assigned to the subordinated debt instrument of Star Union Dai-ichi Life Insurance Company Limited (SUD Life) factors in its strong parentage and operational synergies arising from access to bancassurance networks of its promoter banks, management oversight and shared branding. SUD Life is promoted by Union Bank of India (UBI; rated CARE AAA; Stable), Bank of India (BOI; rated CARE AA+; Stable) and Daiichi Life International Holdings LLC (Daiichi Life), which held 25.1%, 27.5% and 47.4%, respectively, as on June 30, 2026. The rating continues to factor in SUD Life's strategic importance to its promoters, as demonstrated by continued capital, technical, managerial and distribution support. It also derives strength from the company's adequate solvency position and experienced management team.

However, the rating is constrained by SUD Life's moderate scale of operations, and its concentration in group business and promoter-bank bancassurance channel. The rating also considers its moderate profitability, lower persistency ratios relative to peers and exposure to intense competition in the life insurance industry and to the evolving regulatory environment.

Rating sensitivities: Factors likely to lead to rating actions

Positive factors: Factors that could individually or collectively lead to positive rating action/upgrade:

- Significant and sustained improvement in the company's market share, accompanied by greater diversification of its distribution channels and improvement in profitability.

Negative factors: Factors that could individually or collectively lead to negative rating action/downgrade:

- Material reduction in the shareholding of the existing promoters, weakening of bancassurance arrangements, or deterioration in credit profile of promoters.
- Solvency margin sustaining below 1.7x.
- Deterioration in profitability on a sustained basis.

Analytical approach: Standalone, factoring in financial strength of promoters and SUD Life's operational, managerial and financial linkages with them.

Outlook: Stable

The Stable outlook reflects CARE Ratings Limited's (CareEdge Ratings') expectation that SUD Life will continue to receive capital, managerial, technical and distribution support from its promoters and will report a steady earnings growth in the near-to-medium term.

¹SEBI: Securities and Exchange Board of India; RBI: Reserve Bank of India; MCA: Ministry of Corporate Affairs; IRDAI: Insurance Regulatory and Development Authority of India; PFRDA: Pension Fund Regulatory and Development Authority.

²Complete definitions of ratings assigned are available at www.careratings.com and in other CARE Ratings Limited's publications.

Detailed description of key rating drivers

Key strengths

Strong promoter profile and expectation of support

SUD Life is a joint venture among UBI, BOI and Daiichi Life, which held 25.1%, 27.5% and 47.4%, respectively, as on June 30, 2026. The company benefits from capital, managerial, technical and distribution support from its promoters.

Promoters have demonstrated a track record of capital support through periodic equity infusions. They have collectively infused ₹1,278 crore into SUD Life, including ₹550 crore in FY25. Daiichi Life and UBI participated in the FY25 infusion, following which Daiichi Life's stake increased to 47.4% from 45.9%, while BOI's stake declined to 27.5% from 29.0%. UBI maintained its stake at 25.1%.

SUD Life benefits from access to the pan-India branch network of its promoter banks, comprising over 15,000 branches as on June 30, 2026, including branches of regional rural banks sponsored by BOI and UBI. Although the company is expanding its proprietary channels, promoter banks are expected to remain the principal source of individual business over the medium term.

SUD Life also benefits from Daiichi Life's extensive experience in the life insurance industry through technical and strategic support in areas such as product development, underwriting, reinsurance, risk management and distribution.

Given SUD Life's strategic importance to its promoters, CareEdge Ratings expects the company to continue receiving need-based capital and strategic support from Daiichi Life, and distribution support from promoter banks enabling it to scale up its overall insurance business.

Strong Board of Directors and experienced management

SUD Life is governed by a Board of eleven Directors, comprising three representatives from Daiichi Life, two each from UBI and BOI, three Independent Directors, and one Executive Director. The company is led by an experienced management team under Abhay Tewari (MD & CEO), who brings over two decades of experience in the insurance industry. The team also includes Yuichi Nishi (Deputy CEO & CFO) and Masakuni Matsufuji (Chief Risk Officer) from Daiichi Life.

The management is supported by seasoned professionals having average experience of over a decade across strategy, underwriting, actuarial, risk management, investment, and technology functions.

Adequate solvency position

SUD Life reported a solvency ratio of 1.86x as on June 30, 2026, translating into excess capital of ₹439 crore, compared to 1.67x as on March 31, 2026 (March 31, 2025: 2.30x). Improvement was supported by reversal of adverse marked-to-market (MTM) movement on derivative positions recorded at FY26-end.

The Board has approved a proposal to raise ~₹640 crore of equity from promoters in FY27, primarily to support business growth and investments in new distribution channels.

The management expects the proposed equity infusion, together with internal accruals, to support the company's capital requirements in the next three years. Going forward, the company's ability to maintain adequate solvency while funding business growth and investments in proprietary distribution channels will remain a key rating monitorable.

Moderate profitability metrics

SUD Life's total annual premium equivalent (APE) increased by 21% to ₹2,422 crore in FY26 from ₹1,999 crore in FY25, driven by a 45% increase in Unit-linked insurance plan (ULIP) APE to ₹1,045 crore. Consequently, ULIPs accounted for 43% of total APE and 53% of individual APE. The higher ULIP mix, which is yet to achieve adequate scale and fixed-cost absorption, constrained profitability despite healthy business growth.

Profit after taxation (PAT) declined to ₹32 crore in FY26 from ₹82 crore in FY25, while return on net worth (RONW) moderated to 1.8% from 5.5%, impacted by the loss of input tax credit following GST exemption for individual policies, higher employee-benefit provisioning, adverse MTM movements on derivatives and continued investments in distribution capacity. Absolute VNB increased to ₹389 crore from ₹305 crore. In Q1FY27, PAT remained broadly stable at ₹17 crore versus ₹18 crore in Q1FY26, with higher operating expenses and initial investments in agency, broking and direct channels offsetting the benefit of strong premium growth and reversal of MTM losses.

Going forward, profitability is expected to improve with a more favourable product mix, increase in scale and operating leverage.

Key weaknesses

Moderate and concentrated scale of operations

SUD Life's scale remains moderate, with a market share of 1.5% in individual APE and 1.1% in overall NBP in FY26, compared to 1.3% and 1.1%, respectively, in FY25. Although individual APE grew by 21% to ₹1,957 crore, group business continued to account for ~60% of NBP. The high share of group business makes premium flows relatively less granular and more susceptible to volatility.

Distribution remains concentrated in the bancassurance channel, primarily through the promoter banks, which contributed 85.8% of individual NBP in FY26, despite being lower than 95.6% in FY25. The company also made progress in diversifying its distribution franchise, with the share of alternate channels increasing to 15% in FY26 from 4% in FY24.

Going forward, the company's ability to expand its granular retail business and strengthen agency, direct and other proprietary channels will be important for reducing concentration in group business and in bancassurance channel.

Persistency remains moderate despite improvement in later cohorts

SUD Life's persistency ratios improved across most cohorts but continued to remain moderate compared to peers. As of Q1FY27, 13th-month persistency improved marginally to 78.46% from 78.32% in Q1FY26. The 37th, 49th and 61st month persistency ratios improved to 59.23%, 55.49% and 43.25%, respectively, from 55.68%, 55.89% and 30.06%. However, 25th month persistency moderated to 62.55% from 65.03%.

Improvement in 61st month persistency from 23.17% in FY25 to 39.61% in FY26 and 43.25% in Q1FY27 indicates better retention in older cohorts. The company's ability to sustain improvement across cohorts, particularly at the 25th month, and manage the impact of revised surrender-value norms on persistency and profitability will remain key rating monitorable.

Changing regulatory dynamics and competitive industry landscape

Long-term growth prospects for the Indian life insurance sector remain robust with low penetration of life insurance as a percentage of GDP in India supported by strong socio-economic growth drivers. As the Indian life insurance sector continues to evolve, the sector has been witnessing slew of regulatory changes. Some key regulatory changes include increase in surrender values of life insurance policies, expected migration to International Financial Reporting Standard (IFRS) and risk-based capital framework in the medium term. While these measures are expected to improve product proposition and propel the Indian insurance industry towards greater efficiency and effectiveness leading towards the vision of 'Insurance for All' by 2047, they are also expected to increase competition in the industry and lead to changes in operating models/technology adoption in the medium term.

Liquidity: Strong

The SUD Life's liquidity remains strong with majority investments in fixed income securities (largely central government bonds), and money market instruments, which are readily marketable. Of the total non-linked investments of ₹28,928 crore as on June 30, 2026, ~76% were invested in central/state securities and ~22% in AAA rated debt securities. Unencumbered cash and bank balances stood at ₹240 crore.

Per the cashflow statement for FY26, cash inflows (premiums received + investment income) stood at ₹11,312 crore against claims payouts of ₹2,351 crore and total expense (opex + commission) of ₹1,792 crore.

Environment, social, and governance (ESG) risks: Not applicable

Applicable criteria

[Definition of Default](#)

[Rating Outlook and Rating Watch](#)

[Financial Ratios - Insurance Sector](#)

[Life Insurance Sector](#)

[Notching by Factoring Linkages in Ratings](#)

About the company and industry

Industry classification

Macroeconomic indicator	Sector	Industry	Basic industry
Financial services	Financial services	Insurance	Life insurance

Established in 2009, SUD Life is a joint venture (JV) between BOI (27.48%), UBI (25.10%), and Japan's leading insurer, Daiichi Life (47.42%). Originally, BOI held 51% stake and UBI 26% as on March 31, 2009, eventually Daiichi Life has since increased its share, while BOI's stake reduced.

Leveraging an extensive network of over 15,000 parent bank branches and regional rural bank branches sponsored by BOI and UBI, SUD Life has access to semi-urban and rural markets. The company's bancassurance-driven model serves over 10 million customers nationwide, offering a diverse portfolio including savings, market-linked, annuity, health, and protection products for individuals and groups.

Brief Financials (₹ crore)	March 31, 2025 (A)	March 31, 2026 (A)	Q1FY27 (UA)
Gross Direct Premium	8,260	9,592	2,667
Profit after tax (PAT)	82	32	17
Tangible net-worth (TNW)*	1,811	1,834	1,850
Solvency (x)	2.3	1.7	1.9
Persistency ratio (13th month) (%)	77.74	77.84	78.46
Persistency ratio (61st month) (%)	23.17	39.61	43.25

A: Audited; UA: Unaudited; Note: these are latest available financial results

*Adjusted to intangible assets and deferred tax assets and including fair value change

Status of non-cooperation with previous CRA: Not applicable

Any other information: Not applicable

Rating history for last three years: Annexure-2

Detailed explanation of covenants of rated instrument / facility: Annexure-3

For complexity level of instruments rated refer to Annexure-1

Lender details: Annexure-4

Disclosure on facilities/instruments and name of regulators:

A list of facilities / instruments falling under the purview of financial sector regulators (FSRs) along with the names of respective FSRs has been duly disclosed by CareEdge Ratings on its website. A link to the same has been provided below for ready reference:

https://www.careratings.com/activities_and_regulators

Note: For facilities or instruments falling under the purview of FSRs other than Securities and Exchange Board of India (SEBI), the grievance / dispute redressal mechanisms and investor protection mechanisms provided by SEBI shall not be available.

Annexure-1: Details of instruments

Name of the Instrument	Name of the Regulator	Complexity Level	ISIN	Date of Issuance (DD-MM-YYYY)	Coupon Rate (%)	Maturity Date (DD-MM-YYYY)	Size of the Issue (₹ crore)	Rating Assigned and Rating Outlook
Subordinate Debt	SEBI	Complex	INE503V08016	24-Nov-2021	7.75%	24-Nov-2031	125.00	CARE AA; Stable

Annexure-2: Rating history for last three years

Sr. No.	Name of the Instrument/Bank Facilities	Current Ratings			Rating History			
		Type	Amount Outstanding (₹ crore)	Rating	Date(s) and Rating(s) assigned in 2026-2027	Date(s) and Rating(s) assigned in 2025-2026	Date(s) and Rating(s) assigned in 2024-2025	Date(s) and Rating(s) assigned in 2023-2024
1	Subordinate Debt	LT	125.00	CARE AA; Stable	-	1)CARE AA; Stable (22-Sep-25)	1)CARE AA; Stable (24-Sep-24)	1)CARE AA; Stable (25-Sep-23)

LT: Long term

Annexure-3: Detailed explanation of covenants of rated instruments/facilities

Not applicable

Annexure-4: Lender detailsTo view lender-wise details of bank facilities please [click here](#)

Note on complexity levels of rated instruments: CareEdge Ratings has classified instruments rated by it based on complexity. Investors/market intermediaries/regulators or others are welcome to write to care@careedge.in for clarifications.

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